

Sell Side M&A

Skechers

By: Carson Jones and Abbie Scoby



Meet the Team



Carson Jones

Majors: Finance & Supply Chain

Hometown: Cincinnati, OH

Involvements: Freshman Finance Academy, Alpha Kappa Psi, DMSB Ambassadors, and Student Government



Abbie Scoby

Majors: International Business & Finance

Hometown: Nashville, TN

Involvements: Freshman Finance Academy, Gamecock Consulting Club, Epsilon Sigma Alpha, and Student Government

Table of Contents

Company Overview

Industry Overview

Valuation

Key Takeaways

Skechers Overview



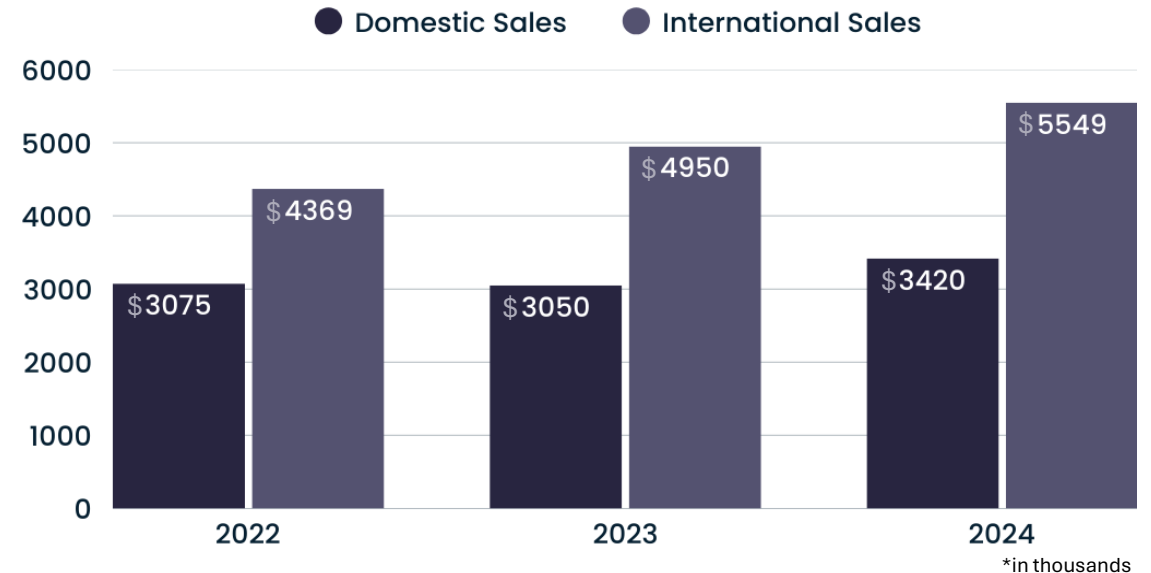
Overview

- Skechers has two main revenue streams, **wholesale** (56.2%) and **direct-to-consumer** (43.8%)
 - Same products, however, different consumer groups
- All manufacturing facilities are third-party
- **Third largest** athletic footwear company; behind Nike and Adidas
- **Over 5,300** Skechers-branded stores globally (company-owned and licensed stores)

Key Financial Components

3-year Revenue CAGR = 9.8%

- 2022 Net earnings: \$7.44B
- 2024 Net Earnings: \$8.97B



Industry Outlook



Consumer Discretionary Sector:

- \$4.82T market cap, 12.3% of broader market, \$43.2B dividend contribution

Consumer Durables & Apparel:

- \$1.84T global market, 20.6% of sector, 10.3% YTD growth

Textiles, Apparel & Luxury Goods:

- Wholesale +20.6% YoY, DTC +9.6% YoY

Footwear Sub-Industry:

- \$1.9B–\$2.2B dividend contribution (4.4%–5.1% of sector), 61%–71% of industry

Key Insights:

- Footwear is a **resilient** segment
 - Despite economic sensitivity in Consumer Discretionary
- Consumers reduced footwear budgets by **~\$35** in 2025
 - signals cautious spending
 - compared to **\$20 decrease** in apparel

Skechers Positioning



Sales Revenue:

1994:
\$100M



2023:
\$8B



2026E:
\$10B

Competitive Positioning:

- Strong wholesale (+20.6% YoY) and DTC (+9.6% YoY) growth aligns with industry trends
- Niche focus on **affordable, trendy** footwear supports resilience vs. premium brands (Nike, Adidas)
- Risks: **Consumer spending cuts** (\$35 less on footwear in 2025) may pressure margins

Outlook:

- Skechers' projected **\$10B sales** by 2026 positions it to gain share in the \$1.84T Consumer Durables market.
- Strategic pricing and DTC expansion critical to offset economic headwinds

Comparable Companies



Public Comps					
Company Name	Ticker	TEV	TEV/Total Rev	TEV/EBIT	TEV/EBITDA
Levi Strauss & Co.	NYSE:LEVI	7,521.2	1.2x	10.4x	5.6x
NIKE, Inc.	NYSE:NKE	84,354.6	1.8x	17.0x	12.3x
PVH Corp.	NYSE:PVH	6,302.0	0.7x	7.9x	3.8x
Deckers Outdoor Corp.	NYSE:DECK	13,732.3	2.8x	11.9x	10.1x
Urban Outfitters, Inc.	NasdaqGS:URBN	4,535.0	0.8x	9.5x	4.4x
Steven Madden, Ltd.	NasdaqGS:SHOO	1,428.7	0.6x	5.6x	4.3x
Ralph Lauren Corporation	NYSE:RL	13,142.9	1.9x	14.7x	7.4x
PUMA SE	XTRA:PUM	5,038.8	0.5x	7.3x	4.5x
Under Armour, Inc.	NYSE:UAA	2,975.4	0.6x	12.6x	4.8x
Crocs, Inc.	Nasdaq:CROX	6,535.6	1.6x	6.2x	5.2x
Skechers U.S.A., Inc.	NYSE:SKX	8,223.9	0.9x	9.1x	5.4x

Summary Statistics					
Summary	Day Close Price Latest	Total Enterprise Value Latest	EV/Rev	EV/EBIT	EV/EBITDA
High	204.04	84,354.6	2.8x	17.0x	12.3x
Low	5.74	1,428.7	0.5x	5.6x	3.8x
Mean	61.97	13,980.9	0.5x	10.3x	6.2x
Median	47.91	6,535.6	0.9x	9.5x	5.2x
Implied Enterprise Value					\$7.88 B

Precedent Transactions



Date	Target	Acquirer	TEV \$	TEV/Revenue	TEV/EBITDA
12/23/2021	HeyDude	Crocs, Inc.	\$2.50 B	3.03x	15.9x
8/12/2021	Reebok	ABG	\$2.42 B	1.51x	8.07x
12/28/2020	Supreme	VFC	\$2.40 B	4.8x	14.7x
10/2/2017	Williamson-Dickie MFG	VFC	\$0.82 B	0.07x	0.54x
1/6/2022	Dr. Martens	N/A	\$1.15 B	4.8x	17.2x
High				4.8x	17.2x
Low				0.07x	0.54x
Mean				2.84x	11.28x
Median				3.03x	14.7x
Implied Enterprise Value					\$14.34 B

DCF Analysis

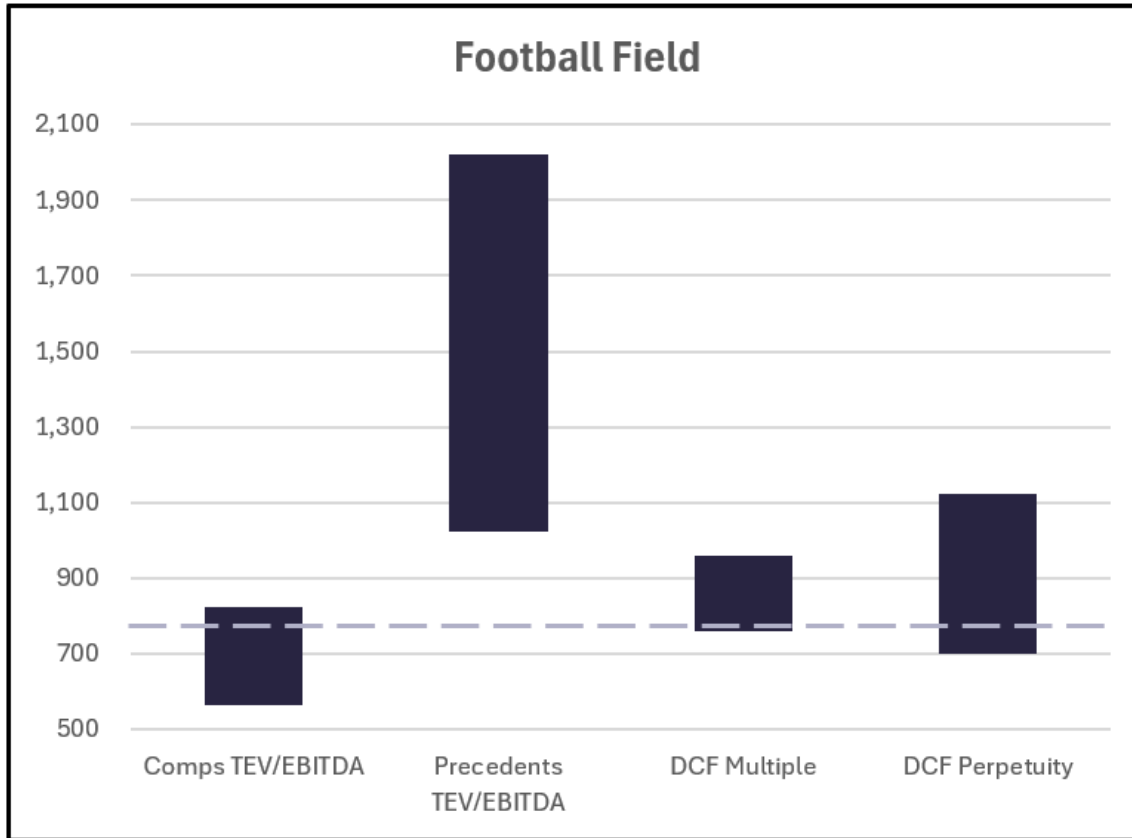
(in thousands)

Free Cash Flow:	2025E	2026E	2027E	2028E	2029E
EBIT	1,033,824.9	1,174,012.5	1,324,482.3	1,484,509.8	1,652,870.9
Less: Taxes (EBIT * TR)	(232,610.6)	(264,152.8)	(298,008.5)	(334,014.7)	(371,896.0)
Adjusted EBIT	801,214.3	909,859.7	1,026,473.8	1,150,495.1	1,280,975.0
Plus: Non-cash Expenses (Depreciation)	237,090.4	265,778.3	297,937.5	333,987.9	374,400.5
Less: Increase in Operating Assets	(403,281.7)	(452,078.8)	(506,780.4)	(568,100.8)	(636,841.0)
Plus: Increase in Operating Liabilities	226,271.8	253,650.7	284,342.4	318,747.9	357,316.4
Less: Capital Expenditures	(467,226.1)	(523,760.4)	(587,135.4)	(658,178.8)	(737,818.5)
Free Cash Flow	394,068.7	453,449.5	514,837.9	576,951.3	638,032.3
Years to Discount	1.0	2.0	3.0	4.0	5.0

Terminal Value (Exit Multiple)		Enterprise Value (Exit Multiple)					
EBITDA	2,027,271.4	Terminal Value (Exit Multiple) 10,541,811.2					
Average Industry EV/EBITDA Multiple	5.2	Total Cash Flow 394,068.7 453,449.5 514,837.9 576,951.3 11,179,843.5					
Terminal Value	10,541,811.2	Discounted Cash Flows 359,158.5 376,666.8 389,774.2 398,103.5 7,030,832.2					
		Implied Enterprise Value 8,554,535.1					

Terminal Value (Perpetuity Growth Method)		Enterprise Value (Perpetuity Growth Method)					
Final Year Cash Flow	638,032.3	Terminal Value (Perpetuity Growth Method) 10,616,775.8					
Long Term Growth Rate	3.50%	Total Cash Flow 394,068.7 453,449.5 514,837.9 576,951.3 11,254,808.2					
WACC	9.72%	Discounted Cash Flows 359,158.5 376,666.8 389,774.2 398,103.5 7,077,976.3					
Terminal Value	10,616,775.85	Implied Enterprise Value 8,601,679.2					

Valuation Summary



Values in \$10m

(in 10000s)	Low EV	Difference	High EV	Weight	Weighted Avg.
Comps TEV/EBITDA	566	261	826	20%	110.15
Precedents TEV/EBITDA	1,026	995	2,021	15%	202.08
DCF Multiple	760	199	959	30%	191.74
DCF Perpetuity	699	425	1,123	35%	262.15
Target					766.11

- Precedents Control premium

- Use of 2025 EBITDA for Comps/Precedents

- Subjective weights – DCF more reliable

- \$7.66B average valuation

Potential Strategic Partners

Size	Product	Strategy	Customer Base
Buyers can leverage Skechers' comfort technology, global distribution , and digital capabilities for growth and efficiency.	Potential buyers should operate in or seek to enter the footwear sector, particularly athletic, casual, and/or lifestyle segments.	Their positioning should be value-driven to align with Skechers' value-focused brand. This would resonate with cost-conscious consumers.	Buyers targeting different demographics (e.g. premium consumers, youth) can use Skechers' broad appeal to diversify their customer base.

Potential Strategic Partners



Footwear Focused Companies

deckers
OUTDOOR CORPORATION

adidas

NIKE

PUMA

Adjacent Industry Players



lululemon



UNDER ARMOUR

GYMSHARK

authentic

AUTHENTIC BRANDS GROUP

Private Equity Firms

TPG



BainCapital

APOLLO

Targeted Strategic Partners

Company



Key Metrics

Market Cap	\$29.74 B
Enterprise Value	\$29.33 B
Cash	\$1.98 B
Debt	\$1.56 B
Footwear Revenue Share	4% of total rev.

Strategic Rationale

- Lululemon entered the footwear market in 2022 but lacks scale
- Skechers could fast-track growth through its **global presence**
- Broaden Lululemon's audience and support its **wellness strategy**



Market Cap	\$15.45 B
Enterprise Value	\$13.47 B
Cash	\$2.24 B
Debt	\$0.26 B
Footwear Revenue Share	100% of total rev.

- Skechers would diversify Deckers with **affordable footwear** that complements HOKA and UGG
- Expand Deckers' reach across different price points
- Boost **global growth**, particularly in Asian markets



Market Cap	N/A
Enterprise Value	N/A
Cash	N/A
Debt	N/A
Footwear Revenue Share	25% of total rev.

*Metrics are limited due to the company being private

- Skechers would scale Authentic's athletic and lifestyle portfolio, complementing Reebok's smaller footprint
- Skechers' **5,300 stores** and D2C channels offers retail synergies with Reebok and Forever 21
- Skechers' **celebrity marketing** could enhance global visibility and growth

Key Takeaways

Final Evaluation

- Industry average: (multiple): 5.2
- Trading EV Multiple: 4.0 (discrepancy comes from shares outstanding)
- EV: \$5.66B (comps) to \$20.21B (precedents)

Market Position

- 3-year Revenue CAGR = 9.8% (steady, compounding momentum)
- 5,300 Skechers-branded stores globally (8.48% GR)
- Third largest athletic footwear company

Strategic Buyers

- Adjacent competitors looking to expand
- Stable companies looking to compete
- Innovation within a younger demographic

Investment Summary

Skechers is well-positioned for **continued growth** as the world's third-largest footwear brand, leveraging strong **international expansion**, a focus on comfort technology, and robust direct-to-consumer channels. Supported by solid financials, a net cash position, and consistent free cash flow, Skechers is expected to reach **\$10 billion** in annual sales by 2026, with analysts projecting significant upside from current valuation levels.

Skechers Overview

APPENDIX



Overview

- Skechers has two main revenue streams, **wholesale** (56.2%) and **direct-to-consumer** (43.8%)
 - Same products, however, different consumer groups
- All manufacturing facilities are third-party
- **Third largest** athletic footwear company; behind Nike and Adidas
- **Over 4,700** Skechers-branded stores globally (company-owned and licensed stores)

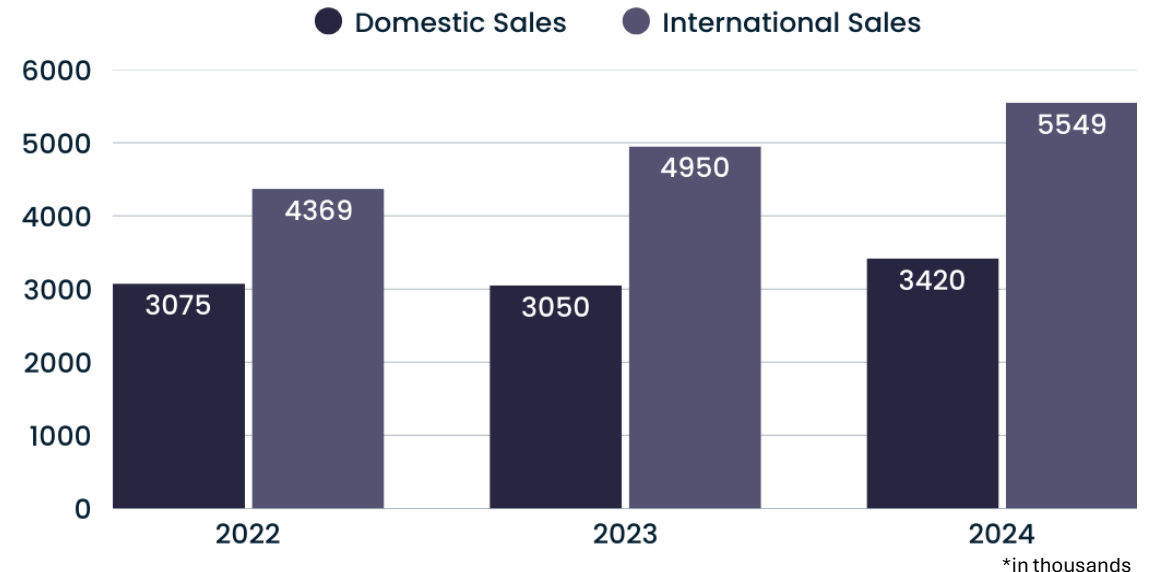
*Stores number from page 16 of 10-K

610 domestic
1200 international
3500 distributor, licensee, and franchise stores

Key Financial Components

3-year Revenue CAGR = 9.8%

- 2022 Net earnings: \$7.44B
- 2024 Net Earnings: \$8.97B



Industry Outlook

APPENDIX



Consumer Discretionary Sector:

- \$4.82T market cap, 12.3% of broader market, \$43.2B dividend contribution

Consumer Durables & Apparel:

- \$1.84T global market, 20.6% of sector, 10.3% YTD growth

Textiles, Apparel & Luxury Goods:

- Wholesale +20.6% YoY, DTC +9.6% YoY

Footwear Sub-Industry:

- \$1.9B–\$2.2B dividend contribution (4.4%–5.1% of sector), 61%–71% of industry

Key Insights:

- Footwear is a **resilient** segment
 - Despite economic sensitivity in Consumer Discretionary
- Consumers reduced footwear budgets by **~\$35** in 2025
 - signals cautious spending
 - compared to **\$20 decrease** in apparel

Skechers Positioning

APPENDIX



Sales Revenue:

1994:
\$100M



2023:
\$8B



2026E:
\$10B

Competitive Positioning:

- Strong wholesale (+20.6% YoY) and DTC (+9.6% YoY) growth aligns with industry trends
- Niche focus on **affordable, trendy** footwear supports resilience vs. premium brands (Nike, Adidas)
- Risks: **Consumer spending cuts** (\$35 less on footwear in 2025) may pressure margins

Outlook:

- Skechers' projected **\$10B sales** by 2026 positions it to gain share in the \$1.84T Consumer Durables market.
- Strategic pricing and DTC expansion critical to offset economic headwinds

Comparable Companies

APPENDIX



Public Comps					
Company Name	Ticker	TEV	TEV/Total Rev	TEV/EBIT	TEV/EBITDA
Levi Strauss & Co.	NYSE:LEVI	7,521.2	1.2x	10.4x	5.6x
NIKE, Inc.	NYSE:NKE	84,354.6	1.8x	17.0x	12.3x
PVH Corp.	NYSE:PVH	6,302.0	0.7x	7.9x	3.8x
Deckers Outdoor Corp.	NYSE:DECK	13,732.3	2.8x	11.9x	10.1x
Urban Outfitters, Inc.	NasdaqGS:URBN	4,535.0	0.8x	9.5x	4.4x
Steven Madden, Ltd.	NasdaqGS:SHOO	1,428.7	0.6x	5.6x	4.3x
Ralph Lauren Corporation	NYSE:RL	13,142.9	1.9x	14.7x	7.4x
PUMA SE	XTRA:PUM	5,038.8	0.5x	7.3x	4.5x
Under Armour, Inc.	NYSE:UAA	2,975.4	0.6x	12.6x	4.8x
Crocs, Inc.	Nasdaq:CROX	6,535.6	1.6x	6.2x	5.2x
Skechers U.S.A., Inc.	NYSE:SKX	8,223.9	0.9x	9.1x	5.4x

Summary Statistics					
Summary	Day Close Price Latest	Total Enterprise Value Latest	EV/Rev	EV/EBIT	EV/EBITDA
High	204.04	84,354.6	2.8x	17.0x	12.3x
Low	5.74	1,428.7	0.5x	5.6x	3.8x
Mean	61.97	13,980.9	0.5x	10.3x	6.2x
Median	47.91	6,535.6	0.9x	9.5x	5.2x
Implied Enterprise Value					\$7.88 B

Precedent Transactions

APPENDIX



Date	Target	Acquirer	TEV \$	TEV/Revenue	TEV/EBITDA
12/23/2021	HeyDude	Crocs, Inc.	\$2.50 B	3.03x	15.9x
8/12/2021	Reebok	ABG	\$2.42 B	1.51x	8.07x
12/28/2020	Supreme	VFC	\$2.40 B	4.8x	14.7x
10/2/2017	Williamson-Dickie MFG	VFC	\$0.82 B	0.07x	0.54x
1/6/2022	Dr. Martens	N/A	\$1.15 B	4.8x	17.2x
High				4.8x	17.2x
Low				0.07x	0.54x
Mean				2.84x	11.28x
Median				3.03x	14.7x
Implied Enterprise Value					\$14.34 B

Cash Flow Statement

APPENDIX



Cash Flows Statement

<i>(in thousands)</i>	<u>2025E</u>	<u>2026E</u>	<u>2027E</u>	<u>2028E</u>	<u>2029E</u>
Cash flows from operating activities					
Net earnings	792,215.3	904,167.7	1,014,728.9	1,141,683.1	1,272,225.3
Add: Depreciation	237,090.4	265,778.3	297,937.5	333,987.9	374,400.5
Short-term Investments	(14,334.9)	(16,069.4)	(18,013.8)	(20,193.5)	(22,636.9)
Trade accounts receivable	(119,857.5)	(134,360.3)	(150,617.9)	(168,842.6)	(189,272.6)
Other receivables	(11,918.4)	(13,360.5)	(14,977.1)	(16,789.4)	(18,820.9)
Inventory	(232,245.7)	(260,347.4)	(291,849.5)	(327,163.3)	(366,750.0)
Prepaid expenses and other	(24,925.3)	(27,941.2)	(31,322.1)	(35,112.1)	(39,360.7)
Accounts Payable	150,262.4	168,444.1	188,825.9	211,673.8	237,286.4
Accured expenses	39,960.4	44,795.6	50,215.8	56,292.0	63,103.3
Operating lease liabilities	36,049.0	40,411.0	45,300.7	50,782.1	56,926.7
Operating Cash Flows	852,295.7	971,517.9	1,090,228.4	1,226,318.1	1,367,101.1
Cash flows from investing activities					
Less CAPEX	(467,226.1)	(523,760.4)	(587,135.4)	(658,178.8)	(737,818.5)
Operating lease assets	(164,995.1)	(184,959.5)	(207,339.6)	(232,427.7)	(260,551.5)
Deferred tax assets	(53,283.3)	(59,730.6)	(66,958.0)	(75,059.9)	(84,142.2)
Long-term Investments	(17,749.1)	(19,896.8)	(22,304.3)	(25,003.1)	(28,028.5)
Other LT assets	(15,278.7)	(17,127.4)	(19,199.8)	(21,523.0)	(24,127.3)
Long-term operating lease liabilities	142,331.1	159,553.2	178,859.1	200,501.0	224,761.7
Deferred tax liabilities	1,348.9	1,512.1	1,695.1	1,900.2	2,130.1
Other long-term liabilities	14,897.8	16,700.4	18,721.1	20,986.4	23,525.8
Investing Cash Flows	(559,954.5)	(627,709.0)	(703,661.8)	(788,804.9)	(884,250.3)
Beginning Cash Balance	1,116,516.0	1,408,857.2	1,752,666.0	2,139,232.6	2,576,745.8
Net Change in Cash	292,341.2	343,808.8	386,566.6	437,513.2	482,850.8
End Cash Balance	1,408,857.2	1,752,666.0	2,139,232.6	2,576,745.8	3,059,596.6

Balance Sheet Pro Forma

APPENDIX



Balance Sheet

(in thousands, except par value)

	2025E	2026E	2027E	2028E	2029E
Cash & cash equivs	1,408,857.2	1,752,666.0	2,139,232.6	2,576,745.8	3,059,596.6
Short-term Investments	132,804.9	148,874.3	166,888.0	187,081.5	209,718.4
Trade accounts receivable	1,110,415.5	1,244,775.8	1,395,393.7	1,564,236.3	1,753,508.9
Other receivables	110,417.4	123,777.9	138,755.0	155,544.4	174,365.2
Inventory	2,151,631.7	2,411,979.1	2,703,828.6	3,030,991.9	3,397,741.9
Prepaid expenses and other	230,919.3	258,860.5	290,182.6	325,294.7	364,655.4
Total Current Assets	5,145,045.9	5,940,933.6	6,834,280.6	7,839,894.6	8,959,586.4
PP&E	2,065,065.7	2,323,047.8	2,612,245.8	2,936,436.7	3,299,854.7
Operating lease assets	1,528,591.1	1,713,550.6	1,920,890.3	2,153,318.0	2,413,869.5
Deferred tax assets	493,641.3	553,371.9	620,329.9	695,389.8	779,532.0
Long-term Investments	164,436.1	184,332.9	206,637.2	231,640.3	259,668.8
Goodwill	94,494.0	94,494.0	94,494.0	94,494.0	94,494.0
Other assets	141,548.7	158,676.1	177,875.9	199,398.8	223,526.1
Total Noncurrent Assets	4,487,776.9	5,027,473.3	5,632,473.0	6,310,677.6	7,070,945.0
TOTAL ASSETS	9,632,822.8	10,968,406.9	12,466,753.5	14,150,572.2	16,030,531.4
Accounts Payable	1,392,100.4	1,560,544.5	1,749,370.4	1,961,044.3	2,198,330.6
Accrued expenses	370,211.4	415,006.9	465,222.8	521,514.7	584,618.0
Operating lease liabilities	333,975.0	374,386.0	419,686.7	470,468.8	527,395.6
Current installments of long-term borrowings	353,131.0	353,131.0	353,131.0	353,131.0	353,131.0
Short-term borrowings	33,338.0	33,338.0	33,338.0	33,338.0	33,338.0
Total Current Liabilities	2,482,755.8	2,736,406.5	3,020,749.0	3,339,496.8	3,696,813.2
Noncurrent Liabilities					
Long-term operating lease liabilities	1,318,621.1	1,478,174.2	1,657,033.3	1,857,534.4	2,082,296.0
Long-term borrowings	68,450.0	68,450.0	68,450.0	68,450.0	68,450.0
Deferred tax liabilities	12,496.9	14,009.0	15,704.1	17,604.3	19,734.4
Other long-term liabilities	138,019.8	154,720.2	173,441.3	194,427.7	217,953.4
Total Noncurrent Liabilities	1,537,587.8	1,715,353.4	1,914,628.7	2,138,016.4	2,388,433.9
TOTAL LIABILITIES	4,020,343.6	4,451,759.9	4,935,377.7	5,477,513.2	6,085,247.1
Common Stock	149.0	149.0	149.0	149.0	149.0
Additional paid-in capital	12,170.0	12,170.0	12,170.0	12,170.0	12,170.0
Accumulated other comprehensive loss	(171,221.0)	(171,221.0)	(171,221.0)	(171,221.0)	(171,221.0)
Retained earnings	5,144,949.6	5,956,539.7	6,882,539.9	7,935,965.3	9,118,336.0
Skechers U.S.A., Inc. equity	4,986,047.6	5,797,637.7	6,723,637.9	7,777,063.3	8,959,434.0
Noncontrolling interests	536,332.7	628,910.2	717,639.0	805,896.6	895,751.3
TOTAL SHAREHOLDER EQUITY	5,522,380.3	6,426,548.0	7,441,276.8	8,582,960.0	9,855,185.3
Redeemable noncontrolling interest	90,099.0	90,099.0	90,099.0	90,099.0	90,099.0
TOTAL LIABILITIES, REDEEMABLE NONCONTROLLING INTEREST AND STOCKHOLDERS' EQUITY	9,632,822.8	10,968,406.9	12,466,753.5	14,150,572.2	16,030,531.4

Assumptions

APPENDIX



Flatlined:

- Goodwill
- Redeemable noncontrolling interest
- Common Stock
- Additional paid-in capital
- Accumulated other comprehensive loss
- Debt items (temporarily

Taken as a % of revenue

- Current assets
- Current liabilities
- Long term assets

Revenue	Assumed Future Growth Rate:	12.1%
COGS	% of Revenue:	9.2%
SG&A	Selling % of Revenue	18.3%
	G&A % of Revenue	13.8%
Non-operating Income	Moving Average (average of trailing 3 years)	
(Pulled from 8k)	Corporate Tax Rate:	22.5% 
NCI	Moving Average (average of trailing 3 years)	

DCF Analysis

APPENDIX

(in thousands)

Free Cash Flow:	2025E	2026E	2027E	2028E	2029E
EBIT	1,033,824.9	1,174,012.5	1,324,482.3	1,484,509.8	1,652,870.9
Less: Taxes (EBIT * TR)	(232,610.6)	(264,152.8)	(298,008.5)	(334,014.7)	(371,896.0)
Adjusted EBIT	801,214.3	909,859.7	1,026,473.8	1,150,495.1	1,280,975.0
Plus: Non-cash Expenses (Depreciation)	237,090.4	265,778.3	297,937.5	333,987.9	374,400.5
Less: Increase in Operating Assets	(403,281.7)	(452,078.8)	(506,780.4)	(568,100.8)	(636,841.0)
Plus: Increase in Operating Liabilities	226,271.8	253,650.7	284,342.4	318,747.9	357,316.4
Less: Capital Expenditures	(467,226.1)	(523,760.4)	(587,135.4)	(658,178.8)	(737,818.5)
Free Cash Flow	394,068.7	453,449.5	514,837.9	576,951.3	638,032.3
Years to Discount	1.0	2.0	3.0	4.0	5.0

Terminal Value (Exit Multiple)		Enterprise Value (Exit Multiple)					
EBITDA	2,027,271.4	Terminal Value (Exit Multiple)					
Average Industry EV/EBITDA Multiple	5.2	Total Cash Flow					
Terminal Value	10,541,811.2	Discounted Cash Flows					
		Implied Enterprise Value					
		8,554,535.1					

Terminal Value (Perpetuity Growth Method)		Enterprise Value (Perpetuity Growth Method)					
Final Year Cash Flow	638,032.3	Terminal Value (Perpetuity Growth Method)					
Long Term Growth Rate	3.50%	Total Cash Flow					
WACC	9.72%	Discounted Cash Flows					
Terminal Value	10,616,775.85	Implied Enterprise Value					
		8,601,679.2					

Football Field

APPENDIX



DCF Multiple Sensitivity		WACC (+/- 0.5%)				
Multiple (+/- 0.25)		8.72%	9.22%	9.72%	10.22%	10.72%
	4.7	8,252,533	8,082,581	7,917,075	7,755,877	7,598,854
	5.0	8,586,193	8,408,674	8,235,805	8,067,443	7,903,448
	5.2	8,919,853	8,734,767	8,554,535	8,379,009	8,208,042
	5.5	9,253,514	9,060,859	8,873,265	8,690,574	8,512,636
	5.7	9,587,174	9,386,952	9,191,995	9,002,140	8,817,230

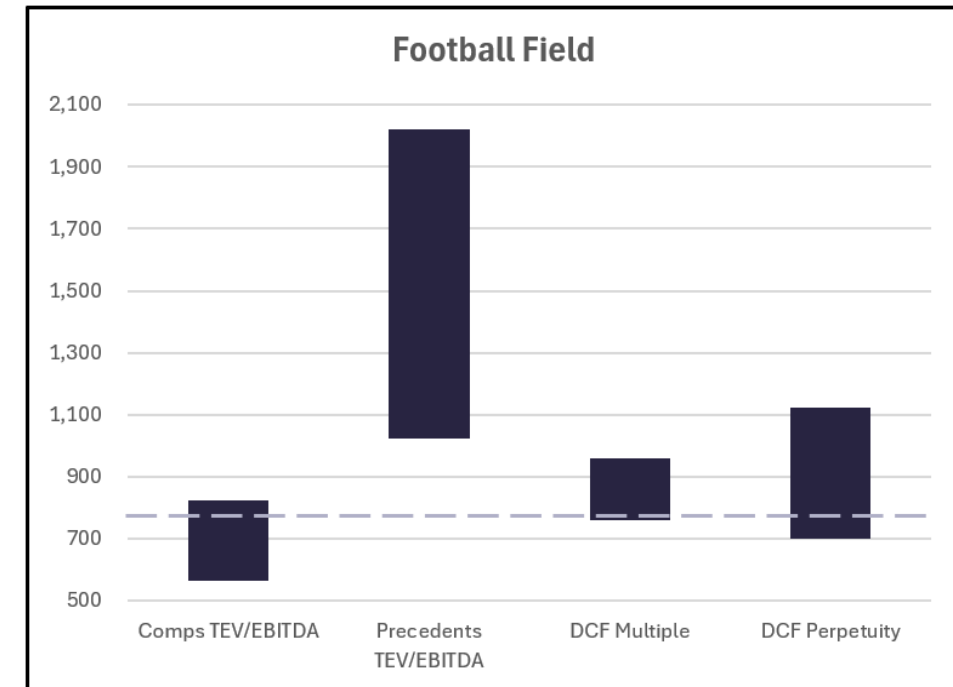
DCF Perpetuity Sensitivity		WACC (+/- 0.5%)				
LT Growth Rate (+/- 0.25%)		8.72%	9.22%	9.72%	10.22%	10.72%
	3.00%	9,543,458	8,750,000	8,075,044	7,493,961	6,988,504
	3.25%	9,908,348	9,051,863	8,328,187	7,708,730	7,172,556
	3.50%	10,308,189	9,380,112	8,601,679	7,939,479	7,369,354
	3.75%	10,748,255	9,738,365	8,898,077	8,188,060	7,580,270
	4.00%	11,234,938	10,130,935	9,220,383	8,456,623	7,806,878

Precedents

Transaction	TEV/EBITDA	IQR	Value
HeyDude	15.9	Low	0.54
Reebok	8.07	Q1	8.07
Supreme	14.7	Median	14.7
Williamson-Dickie MFG	0.54	Q3	15.9
Dr. Martens	17.2	High	17.2

Comps

	TV/EBITDA
IQR	
Low	3.8
Q1	4.45
Median	5.2
Q3	6.5
High	12.3



(in 10000s)	Low EV	Difference	High EV	Weight	Weighted Avg.
Comps TEV/EBITDA	566	261	826	20%	110.15
Precedents TEV/EBITDA	1,026	995	2,021	15%	202.08
DCF Multiple	760	199	959	30%	191.74
DCF Perpetuity	699	425	1,123	35%	262.15
Target					766.11

Potential Strategic Partners

APPENDIX

Size	Product	Strategy	Customer Base
Buyers can leverage Skechers' comfort technology, global distribution , and digital capabilities for growth and efficiency.	Potential buyers should operate in or seek to enter the footwear sector, particularly athletic, casual, and/or lifestyle segments.	Their positioning should be value-driven to align with Skechers' value-focused brand. This would resonate with cost-conscious consumers.	Buyers targeting different demographics (e.g. premium consumers, youth) can use Skechers' broad appeal to diversify their customer base.

Potential Strategic Partners

APPENDIX



Footwear Focused Companies

deckers
OUTDOOR CORPORATION



Adjacent Industry Players



lululemon

GYMSHARK

authentic
AUTHENTIC BRANDS GROUP

Targeted Strategic Partners

APPENDIX



Company	Key Metrics		Strategic Rationale
 lululemon	Market Cap Enterprise Value Cash Debt Footwear Revenue Share	\$29.74 B \$29.33 B \$1.98 B \$1.56 B 4% of total rev.	- Lululemon entered the footwear market in 2022 but lacks scale - Skechers could fast-track growth through its global presence - Broaden Lululemon's audience and support its wellness strategy
	Market Cap Enterprise Value Cash Debt Footwear Revenue Share	\$15.45 B \$13.47 B \$2.24 B \$0.26 B 100% of total rev.	- Skechers would diversify Deckers with affordable footwear that complements HOKA and UGG - Expand Deckers' reach across different price points - Boost global growth, particularly in Asian markets
	Market Cap Enterprise Value Cash Debt Footwear Revenue Share	N/A N/A N/A N/A 25% of total rev.	- Skechers would scale Authentic's athletic and lifestyle portfolio, complementing Reebok's smaller footprint - Skechers' 5,300 stores and D2C channels offers retail synergies with Reebok and Forever 21 - Skechers' celebrity marketing could enhance global visibility and growth

*Metrics are limited due to the company being private

Key Takeaways

APPENDIX



Final Evaluation

- Industry average: (multiple): 5.2
- Trading EV Multiple: 4.0 (discrepancy comes from shares outstanding)
- EV: \$5.66B (comps) to \$20.21B (precedents)

Market Position

- 3-year Revenue CAGR = 9.8% (steady, compounding momentum)
- 5,300 Skechers-branded stores globally (8.48% GR)
- Third largest athletic footwear company

Strategic Buyers

- Adjacent competitors looking to expand
- Stable companies looking to compete
- Innovation within a younger demographic

Investment Summary

Skechers is well-positioned for **continued growth** as the world's third-largest footwear brand, leveraging strong **international expansion**, a focus on comfort technology, and robust direct-to-consumer channels. Supported by solid financials, a net cash position, and consistent free cash flow, Skechers is expected to reach **\$10 billion** in annual sales by 2026, with analysts projecting significant upside from current valuation levels.

Financial Sponsors

APPENDIX



TPG



BainCapital

APOLLO

- Deep experience in consumer retail
 - J.Crew, Petco, Savage X Fenty, and Neiman Marcus
 - Understands brand management and supply chain complexity
- Strong track record in consumer and fashion brands
 - Canada Goose, Gymboree
 - Operational Expertise
 - Known for helping brands scale globally and improve margins
- Does complex deals
 - Excels at turnarounds and large scale transactions
 - Experience in retail and e-commerce companies
 - Claire's
 - Michaels
 - Shutterfly
 - Hostess Brands